

# CONSTRUCTION AGREEMENT WITH EXCULPATORY CLAUSES

This Construction Agreement ("Agreement") is entered into on January 29, 2026, between:

**OWNER: ABC Developers Private Limited ("Owner")**

**CONTRACTOR: XYZ Construction Company ("Contractor")**

## 1. SCOPE OF WORK

The Contractor shall perform all construction work as per drawings, specifications, and instructions from the Owner's representative.

## 2. SITE CONDITIONS - EXCULPATORY CLAUSE

The Contractor shall be solely responsible for all site conditions, whether visible or concealed, including subsurface conditions, underground utilities, soil stability, water table levels, and geological conditions. The Contractor assumes all risks and liabilities arising from unforeseen site conditions and shall not be entitled to any additional compensation or time extension regardless of the nature or extent of such conditions. The Owner makes no representation or warranty regarding site conditions and shall have no liability whatsoever.

## 3. DESIGN LIABILITY - EXCULPATORY CLAUSE

The Contractor accepts full responsibility for the adequacy, safety, and performance of all designs provided by the Owner or Owner's consultants. The Contractor shall indemnify and hold the Owner harmless from any and all claims, damages, or losses arising from design defects, design errors, or design omissions, whether or not such defects were reasonably discoverable by the Contractor. The Owner and Owner's design team shall bear no liability for design-related issues.

## 4. FORCE MAJEURE - EXCULPATORY CLAUSE

The Contractor shall remain fully liable for delays or failures in performance caused by acts of God, war, terrorism, pandemics, epidemics, natural disasters, earthquakes, floods, labor strikes, government actions, or any other circumstances beyond the Contractor's reasonable control. No time extensions or cost adjustments shall be granted for force majeure events. The Contractor shall absorb all costs and continue performance immediately upon cessation of the force majeure event.

## 5. DELAY AND EXTENSION OF TIME - EXCULPATORY CLAUSE

The Contractor shall complete the work by the specified completion date regardless of delays caused by the Owner, Owner's other contractors, late approvals, design changes, variations, or any other cause. The Contractor shall not be entitled to extensions of time or relief from liquidated damages for any reason whatsoever, including delays attributable to the Owner or events beyond the Contractor's control. Liquidated damages shall accrue at ■50,000 per day of delay without limitation.

## **6. INDEMNIFICATION - EXCULPATORY CLAUSE**

The Contractor shall indemnify, defend, and hold harmless the Owner, Owner's employees, agents, and consultants from and against any and all claims, liabilities, losses, damages, costs, and expenses (including attorney fees) of any nature whatsoever, arising out of or in connection with the work, whether caused by the negligence of the Contractor, Owner, Owner's other contractors, or third parties. This indemnification obligation shall have no monetary cap and shall survive project completion indefinitely. The Contractor waives all rights to contribution or indemnification from the Owner.

## **7. PAYMENT WITHHOLDING - EXCULPATORY CLAUSE**

The Owner may withhold payment of any amounts due to the Contractor at the Owner's sole discretion for any reason including suspected defects, incomplete work, disputes with subcontractors, or general dissatisfaction with progress. The Owner shall not be liable for interest on withheld amounts regardless of the duration of withholding. The Contractor shall continue performance without interruption during any payment withholding period.

## **8. VARIATION ORDERS - EXCULPATORY CLAUSE**

The Owner may order variations, additions, or omissions to the work at any time. The Contractor shall execute such variations immediately without adjusting the contract price or completion date unless the Owner, at its sole discretion, agrees to such adjustments in writing. The Contractor waives any right to claim additional costs or time extensions for variations ordered by the Owner.

## **9. WARRANTY AND DEFECTS - EXCULPATORY CLAUSE**

The Contractor warrants all work for a period of 10 years from project completion and shall rectify all defects, whether due to materials, workmanship, design, or any other cause, at no cost to the Owner. The Contractor's warranty obligation is absolute and applies regardless of whether the defect was caused by the Contractor's work, Owner's design, normal wear and tear, or Owner's misuse. The Owner shall have no obligation to provide notice of defects within any specific timeframe.

## **10. STATUTORY APPROVALS - EXCULPATORY CLAUSE**

The Contractor shall be responsible for obtaining all statutory approvals, permits, licenses, and clearances required for the work, whether or not such requirements were known or reasonably discoverable at the time of contract. The Contractor assumes all risks of delays or denials of approvals and shall not be entitled to time or cost relief. The Owner makes no representation regarding the feasibility of obtaining required approvals.

## **11. INSURANCE AND LIABILITY - EXCULPATORY CLAUSE**

The Contractor shall maintain comprehensive insurance covering all risks related to the work with no policy limits or exclusions. The Contractor's liability to the Owner shall be unlimited and shall not be restricted by insurance coverage limits. The Owner shall be named as additional insured but such insurance shall be primary and non-contributory. The Contractor waives all rights of subrogation against the Owner.

## **12. TERMINATION - EXCULPATORY CLAUSE**

The Owner may terminate this Agreement at any time for convenience or for cause, including minor or technical breaches by the Contractor. Upon termination, the Contractor shall immediately vacate the site and shall only be entitled to payment for completed work minus any deductions the Owner deems appropriate. The Contractor shall have no claim for anticipated profits, demobilization costs, or other termination-related expenses.

## **13. NO LIABILITY CLAUSE**

The Owner, Owner's representatives, consultants, and employees shall have no liability to the Contractor for any acts, omissions, errors, negligence, or breaches of this Agreement. The Contractor acknowledges that the Owner is entering into this Agreement with the understanding that the Owner bears no risk of liability to the Contractor.

## **14. WAIVER OF CLAIMS**

The Contractor hereby waives any and all claims, rights, or causes of action against the Owner arising from or relating to this Agreement, the work, the site, or any other matter, whether known or unknown, foreseen or unforeseen, existing now or arising in the future.

## **15. DISPUTE RESOLUTION**

Any disputes shall be resolved by binding arbitration with an arbitrator selected solely by the Owner. The arbitration shall be conducted under rules determined by the Owner. The Contractor waives any right to judicial review of arbitration awards. All arbitration costs and attorney fees shall be borne by the Contractor regardless of outcome.

**Contract Value: ■10,00,00,000 (Rupees Ten Crore Only)**

**Completion Period: 12 months from commencement date**

**IN WITNESS WHEREOF, the parties have executed this Agreement:**

**OWNER: ABC Developers Private Limited**

Signature: \_\_\_\_\_

Date: January 29, 2026

**CONTRACTOR: XYZ Construction Company**

Signature: \_\_\_\_\_

Date: January 29, 2026